Target company valuation

- **Valuing a potential target company is a key stage in the takeover process.**
- **Unfortunately, valuing the target company is a complicated process, partly because of the wide range of valuation methods available.**
- **In this sense, business valuation is considered by many to be more of an art than a science.**

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Target company valuation

- **There are two broad approaches to valuing a company.**
- ***Asset-based valuations* focus on the value of the company's assets.**
- ***Income-based valuations* (*going concern valuations):***
  - **Consider the future earnings or cash flows expected to be obtained by gaining control of the target company.**
- **Each valuation method has advantages and disadvantages and will be more or less appropriate according to the intentions of the acquirer towards its target.**

Stock market value (1)

- **Stock market value or market capitalisation is the number of issued ordinary shares of the target company multiplied by their market price.**
- ***Market capitalisation = Market price * number of issued shares***
- **Whether stock market value is a fair value will depend on the efficiency of the stock market.**
- **Stock market value provides a guide to the bidding company of the minimum likely *purchase price* of the target company.**
- **It does not give an estimate of how much the target company is *worth* to the bidder since *it does not reflect bidder's post-acquisition intentions*.**

Stock market value (2)

- **Stock market value is therefore a useful starting point for estimating the price that will be paid for the target company as it represents the minimum that target shareholders will accept.**
- **A substantial *premium* will need to be added as an incentive to persuade the shareholders to relinquish their shares.**

Stock market value (3)

- **A company's quoted share price does not reflect the value of all of its shares since only a small proportion of them are traded at any one time.**
- **The quoted share price reflects only *marginal* trading.**
- **Therefore there is need to investigate the movement of the target company's share price over a period of time.**

Activity 1

- **A company has issued 5 million K0.5 ordinary shares with a quoted market price of K2.85 per share.**
- **<u>Required:</u>**
- **Determine the market capitalization.**
- **Market cap. = # of issued shares * market price per share**
- **= 5m *K2.85**
- **= <u>K14.25m</u>**

Asset based valuation method (1):

- **Net asset valuation(*balance sheet* or *book value basis*):**

Non-current assets	***X***
Current assets	***X***
Total assets	***X***
Less: Total liabilities	***(X)***
Net asset	***X***

- **The advantage is that it uses historical costs that are both factual and easily available.**

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Asset based valuation method (2) Disadvantages:

- **Historical cost balance sheet values do not reflect current asset valuations;**
  - **Receivables and inventory figures may be unreliable, and**
  - **Intangible assets such as goodwill, human capital and brands are ignored.**
- **Therefore, net asset value *offers only a lower limit* for the target company's value even when the most reliable figures are used.**

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Net asset value (net realizable value) (liquidation value) (3)

- **Net realisable value is the amount that could be gained by selling the target company's assets on the open market.**
- **This is a residual value after selling assets, deducting liquidation costs and paying off liabilities.**
- **This method may be useful if the bidder intends to sell off part of the target company and integrate the remainder into its existing business operations.**

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Net asset value (replacement cost) (4)

- **Replacement cost seeks to determine the cost of acquiring the separate assets of a target company on the open market.**
- **Replacement cost has an advantage over book value in that replacement cost estimates of asset values are more relevant than historical cost estimates.**
- **Most bidding companies can obtain the book values of a company's assets from its published accounts, but will have great difficulty in determining their replacement costs and realisable values because they lack access to the necessary inside information.**

Income based valuations

- **Valuing a target company as a going concern is appropriate if the bidding company intends to continue its business operations for the foreseeable future.**
- **Calculating the going concern value of a target company is based on valuing the additional income which the bidding company expects to gain from the acquisition.**

Price/earnings ratio valuation

- **This involves multiplying the target company's distributable earnings by an appropriate P/E ratio.**
- **Price earnings (P/E) ratio basis: Po = P/E x EPS**
- ***Possible P/E ratios include;***
- **the bidder's P/E ratio,**
- **the target company's P/E ratio, alternatively,**
- **an appropriate sector average P/E ratio.**

Activity 2

- **PC plans to acquire 75% shares in Computer Co ltd. The share capital of Computer ltd is K2m made up of 40n shares. Computer ltd has just paid dividend of 6 ngwee per share. The dividend pay-out ratio is 40%. The sector average PE ratio is 8 times.**
- **<u>Required:</u>**
- **Determine the current share price based on the PE ratio.**
- **Calculate the amount payable by PC to take control of Computer Co ltd.**

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Solution to activity 2

- Earnings per share = 6n/0.4 = 15n
- Price earnings (P/E) ratio basis: Po = P/E x EPS
- Share price = 15n * 8 = 120n = <u>K1.20</u>
- Number of issued shares = K2m/0.4
- = 5m
- 75% shareholding = 5m * 75% = 3,750,000 shares
- Amounts payable = number of shares * price per share
- = 3,750,000 * K1.20
- =<u>K4.5m</u>

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Dividend growth model

- **The share value is the sum of the *present value* of *all future dividends* associated with a particular share.**
- ***There is need to identify the following:***

1. **The dividend pattern**
2. **The shareholders required rate of return (cost of equity)**

Dividend growth model (estimating growth rate)

- $$g = \sqrt[n]{\left\{\frac{Latest\ dividend}{Earliest\ dividend}\right\}} - 1$$
- g = approximate growth rate.
- n = period of growth or intervals between dividends.

Dividend growth model (*Constant growth rate*):

- **Assuming the growth rate is perpetual;**
- **the share value is determined as;** $Po = \frac{d_0(1+g)}{r_e - g}$ **or** $= \frac{d_1}{r_e - g}$
- **<u>Where:</u> d_0 is dividend paid or payable now.**

  d_1 is dividend payable end of the period.

  g is the constant growth rate.

  r_e is the cost of equity.
- **The cost of equity can be determined using CAPM**

Activity 3

PH Co is considering a bid for HP Co. Both firms are stock market listed. Financial information on HP co which is shortly to pay dividend.

Number of ordinary shares	**5 million**
Earnings per share	**40n**
Dividend pay-out ratio	**60%**
Dividend per share one year ago	**23.0n**
Dividend per share two years ago	**20.0n**
Equity beta	**1.40**

Average sector P/E ratio is 10 times while the yield on TBs is 4.6% and market return of 10.6%

<u>Required:</u>

a) **Determine the value of HP using P/E ratio basis**
b) **Calculate the value of HP using the Dividend growth model**

Solution to activity 3 (a)

- **PE basis: Po = EPS * PE ratio**
- **= 40n * 10 times**
- **=400n or <u>K4.00</u>**
- **Value of HP = Number of shares * share price**
- **= 5m * K4.00**
- **=<u>K20m</u>**

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Solution to activity 3 (b) (dividend growth model)

- **Cost of equity (CAPM) = 4.6% + 1.40*(10.6% - 4.6%)**
- **= 13%**
- **Current dividend = 60% *40n = 24n**
- **Growth rate =** $\sqrt{\left\{\frac{24}{20}\right\}}$ **- 1 = 9.5%**
- **Share price =** $\frac{24*(1.095)}{0.13 - 0.095}$ **= 751n = K7.51**
- **Value of HP = 5m * K7.51**
- **=<u>K37.55m</u>**

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